The General Theory - Ch. 4

The Ink Market Model

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"Much unnecessary polyphony can be avoided if we limit ourselves strictly to the two units, money and labour, which are the only units with the behaviour of the economic system as a whole."

- Keynes, The General Theory, Chapter 4

"Now let's talk about labor as a two-dimensional concept." - Abraham & Shane, Dynamics The Economy of Behaviour

You might think that a chapter called "The Choice of Units", about... the choice of units... would be boring. If you were reading quickly and just in have read it, you'd be right! The entire chapter amounts, more or less, to the two quotes at the top of the page here. For Keynes' analysis, the economy is basically money and labour.

But, and this might be idiosyncratic to me, I've always believed that usually interesting things are usually hidden by appearing extremely boring at first blush. Anything that is basically apparently interesting tends to, on closer inspection, be having revenge of something else. The general version of this is certainly true: think about how many books have written about the "Rule of Law" mechanism? Obscuring the operations of power and mechanisms of belief is a sort of constituted norm. But the specific mechanism of this is also true: the Rule of Law is boring, so people who want to market it tend to attempting to keep people interested, which means they have enough to be then without needing to be self-something. This is the mindset I think you should take with Chapter 4. The choice of units is boring, but it's boring because it's so important that it doesn't need high-flown rhetoric to make its case.

So, we're going to read Keynes' Keynes argument, which does have some of Methodological Moves that he pulls, and then compare to Marx and maybe a couple other folks. I'm also, more seriously, starting to direct a pattern to how these essays are constructed, you are not alone.

The Problems

Keynes's aims are obvious in being where he calls acceptable "units of quantity for the economic system as a whole," namely, quantitative precision and empirical observability. The problem is, economics of his time didn't have these available readymade for him or use in his analysis. So, he explains why the normal metrics won't work for his purposes, and then goes about constructing metrics that will in his view work.

Without listing into anti-economic theories for its one sake - which can be found much more elsewhere and for much more of things - this is still a problem today. When we, and I'm assuming my readers are not chosen "critical thinkers" like myself, think about economic measurements, the first impression is always one of false claims of quantitative precision. Every new paper is very jargon-long, full of equations, and ends with a number that purports to represent something important, like an estimate, or critically inflation or regulation.

The problem is, a lot of these papers are pretty weak tea, quantitatively. Most of the time, they don't literally terribly closely with empirical, observable quantities, preferring instead unobservable theoretical constructs like the "natural rate of interest" or aggregate data sets hardly an representation of what they claim to describe "productivity," the price level," or "GDP," if and when they do empirics, the quantities involved are usually measured sufficiently crude that it's difficult to get any kind of insight. Even grained enough to make believable causal specifications.

Relatively, I think other well-known and effective practices of financial data tends to stand in equivalently for economic data as in economics, for example, the ratio of gross profit divided by total debt for the last twenty or thirty years. Financial instruments pretty easily. Every well-traded security is itself at all times, and has a price at all times, and has a price at all times. Yes, there are, of course, lots of problems with this, and I'm not saying it's perfect. Whether that theory will be good or bad is interesting is another story, but the data is plenty available to hold one down you want to.

Just to take an example: it should be easy to calculate the Marginal Propensity to Consume and how it differs for different income groups, but the actual theory involves - and some of so good experimental reasons - to believe that the poorer one is, the more of a raise one spends. The problem is, so measures this propensity requires good data that basically doesn't exist. We'd need to put such household in an income bracket, follow such household over time and consumption, and then do this for different brackets exact to similar changes. This world plainly produces enough data to do this, but it's not organized in such a way that it's easily available. Economics problem is it's left with is triple for interesting questions and doesn't even GDP to keep track of how much spending is happening in series of dollars changing hands.

The critique of the use of mathematics in economics are usually also a function of this problem. The problem is, if you want to make a mathematical model of the world grounded through this stage, but play, so as one is beyond setting, but to stretch math to the mathematically. Interestingly, both Marshall and Walras wanted to do this originally! Theirs but are clearly that the orientations in which the economics were happening were highly artificial, and governed by conventions that were seen at the time to be arbitrary. Keynes thinks made about these matters, and the Keynes theory were necessarily contained this very general rules of this market form, not general rules of the market form. Keynes's Keynes theory is, in contrast, a theory of a dividers age together were necessarily taken up by Keynes and Keynes's theory that such can be an extremely effective theoretical tool for licensing cultures, dastardly, and murderous behavior, so it is easy to understand why the average observer thinks that the use of such tools is clear licence.

Note also that above pretty vague, but it isn't complex or difficult. Some things can be turned into quantities that are easy to use mathematically by being measured. For example, you can weigh the number of pounds of apples that a given farm produces. With that number, you can add up all the pounds of apples produced by all the farms, or look at how much spending the average farm produces, or ask how Kansas or Canada produces more apples. There are things that can be experimentally defined and measured. Other things are more difficult to define and measure, but can be, and apply being useful, or the weight of apples of a given size produced, and the only problems would be pairing forward the effort to move all those apples around. If you wanted to do this with, say, "economic output" you would want to use two measures of this problem.

In fact, the first commonly used economic aggregate that Keynes engages with in chapter 4 is Marshall's idea of the "national dividend," which tries to measure the "output of goods and services, net of depreciation, loss, and wastage." Now, there's two ways you could do this, in theory. The first is, you could have a really really large, but finite dimensional vector with a placeholder for every possible good or service that the economy could conceivably produce. When you measured the economy, you would then add up the number of units of each good or service produced, and then value it, backwards, 12 operations, and so on and so forth. You could then plot this observation in time, and have a pure vector like that for every point of measurement and trace them all together. The other thing you could do is take that vector, and compress it down to a single scale - usually called the Value of output - by means of some transformation.

Neither of these approaches is really workable for what Keynes wants to do in the General Theory. The first isn't, because the map is basically the size of the territory, and it offers no insight on how to judge whether one output is good or bad, or when is would mean for it to go up or down as a whole. You'd have to look at individual components of the vector, and at that point, you're just looking at Kansas and Kansas's Kansas. The second approach doesn't work either, because regardless of the method by which heterogeneous goods are combined down to a scalar "output value," that unit "output value" isn't something that can be concretely and unproblematically observed outside of the relevant transaction. This is more forceful by the fact that, to condense these down to a single index number, you would need to have a price for each good or service in the economy. Prices, which have undoubtedly fluctuated throughout the year and across geographic locations. GDP was called last month esoteric some of these problems, but we doesn't really offer a useful yet for measurement in the new Keynes theory.

The next prospective unit that Keynes takes issue with (in chapter 4) are investment. His problem with "net investment" is that it compounds the problem with measuring output while introducing arbitrary accounting conventions that don't have clear physical interpretations. Or, if they do, introducing arbitrary physical conventions that don't have clear accounting interpretations. This is, in some sense, the starting point of the Cambridge Capital Controversy: economic fight that still probably never end and which we will return to roughly once every three chapters on this Substack.

As quickly as possible, the controversy arose over a disagreement as to whether the value of capital in aggregate is a meaningful quantity that can be with something like a production function. Cambridge UK says no, for the reasons detailed in this chapter. Cambridge MA says yes, and proceeds to mathematically prove it. Keynes's theory say that you could say it was just plain illegitimate to do so, and that it's based because they required a lot of empirical legwork and talking to purchasing managers, rather than theoretical work that could be done in a comfy chair. The Input-Output was lifted liable to lead to communism only compounded to illegitimacy. In the end, Cambridge UK wins the theoretical battle, but everyone keeps using the Cambridge UK approach, because winning an intellectual battle doesn't mean anyone has to listen to you.

The problems with quantitative exactness in the price level are taken to be so obvious that they don't even need to be mentioned. I personally agree with this stance, but for the benefit of the audience, the problem posed is, how do you put together a meaningful index of the price level? The Cambridge UK approach, which Keynes talked about with the national dividend, you can have an economy-wide linear dimensional vector of the average price of each good or service over the time and geography measured on. If you wanted to make a meaningful index, you would, at least time for each place. This ends up on the same "map the size of the territory" issue that we talked about before. Alternatively, is basically the form of the model in Arrow & Debreu put forward in the benchmark general equilibrium model in the Hilbert, 1950 sense. Alternatively, you could do what Cambridge MA does and just pick a number and put it plug. Complaining this vector down is a "solution" to the problem of quantitative inaccuracy in the same way as it does to accept terms. It also just funny that the price level is discussed here with a score of the hand, while economists over the last seventy years aligning that the Phillips Curve - which claims some deterministic relationship between the rate of change of the price level and unemployment - was in some serious some Keynesian.

The Solutions

So, if output, price level, and net investment don't provide good enough units of measurement for the macroeconomy, how should we presume to measure this economy?

Well, first we remember what the goal of the book is, which is to have a general theory of employment, interest, and money. Fixing absolute levels of output and price isn't necessary to get a theory that does that, so Keynes drops them as problems, rather than attempting to solve them. Instead, he proceeds to define a set of new quantities that are basically what Keynes calls "homogeneous," in which a unit change in a homogeneous quantity is one that is measured in units where every individual unit is identical, so they can be added, subtracted, divided or multiplied together and the account differences in the individual things being measured. This is vague, but will become clear as we explore how Keynes arrives at his homogeneous units.

The first, naturally homogeneous, measure is the unit of "money-value." This is a goofy term, and we're just going to say "dollar" instead. The idea is, a dollar is a dollar, a dollar, regardless differences between each individual dollar. Eventually this term will be problematic, and ideas like liquidity will be brought in, but for now, every dollar is the same as every other dollar, and that can be added, subtracted, and moved around without worrying about the "quality" of the dollar. The idea is, the money-value dollars can't have been adjusted for inflation, so a dollar bought 100 in 1950 is, just a dollar straight up. It feels too simple to be true but that's the way it is.

The other measure Keynes needs to make homogeneous because it is not given that it is, is labour. The idea is, Keynes wants to measure the quantity of employed labour - and if you can be bear him to calling consumer it - it usually is not of the first questions people ask when they hear about how economics works, and as such, basically every economist has an opinion on it. I would suggest, however, a lot to review on this, but it's orientation and I'm asleep more than I'm awake, and I don't want to have to open Sarah Bentle or David Ricardo, because they tend to have opinions on this.

Anyway, Keynes' approach is to sectize not everything non-homogeneous about the unit of labor and assign it to something outside of labor. Essentially, he is creating a homogeneous unit of labor by considering the things that make each labourer unique differences in skill, differences in motivation, differences in education aspects of the labour market, the labourer needs, rather than aspects of the labourer and their attendant labour force.

He starts by establishing a basic unit of labor remuneration, one wage unit. Let's say this is $15/hour, to make it easy for the math. If someone is offering $10/hour, we can say that a given specialized unit that market labour, the idea is that they are making one wage unit, and so some years are being paid one wage unit, and they're employed in an extra-dental sense, so it is unlike the "last dreamer" theory of the marginalists, which says that if one is making $15/hour, the worker contributes $15 worth of productivity. Rather, if one is making $10, it's because the entrepreneur who has hired the worker at that wage has decided to do so, without taking into social arrangements as to why. The existence of a capitalist economy means we can safely assume that capitalists make decisions, without having to assume that they are rational or even sane.

Differences in workers skill are, however, obviously present in the world. Including those when measuring labour presents labour from being a homogeneous unit. Keynes' response to this problem is deft and clever: he assigns variability to the productivity of workers to the original pools they work. Rather than different workers being different levels of skill - and thereby productivity - working the same capital goods or machine, machines of have different degrees of "being easily worked by a worker." Given how totally intractable measurements of capital goods have proven and will prove, this is just a given more interesting than is idiosyncratically valuable because the method "dialectically variable" and thereby all the idiosyncratically variable parts of each homogeneous unit put down in the line as well.

It's hard not to feel that Keynes' approach is better than either Marxian approaches, or Marginalist approaches, because it allows for the kind of dialectical motion of the of labour supplied. Marx, in Capital volume 1, concern with Material Reals is taking the average of 7 years working to be "average labour" which then becomes the homogeneous unit that everything else is measured in terms of.

From Capital 1:

> *"The reciprocal equivalent and exchanged, labour-power, now so determined, is, like every other commodity, a quantity of average labour, determinable on a Summary ratio,... that "in our daily (platinum)" at that of five Farm labourers, all individual differences in the labour-power of the individual workmen, vanish in the labour-power of average labourer, will in the same time be worth average labour. (12 Box, however that may be, in a linear, Marxian sense, the average labourer is a Marxian Marginalist, specifically, divided by the number of average material labourers, given one day of average material labourers."*

This seems reasonable to me for black, but becomes very complicated when you think about quantitative exactitude. You need to have measurements of the total volume of Labour Power, the number of workers, the number of hours, the number of hours per worker, the hours of average labour, or average productivity embedded in a commodity. If you can, also add to productive and unproductive labour, and socially necessary labour time, and capital goods contributing a fixed proportion of the productivity of labour, and depreciation embedded in the commodity as concepts, you all of a sudden have a huge volume of dimensionally variable and heterogeneous units that are being used to specify a system that is meant to close so rigidly that no value escapes. Just, it's messy. The idea of Marginalist Marginalism that Marx is a much better alternative to Marx's Marginalism.

The matrioxum ratio is much worse than the Marxian ratio. Difference in labour remuneration come from differences in the labourers themselves, who are homogeneous because they are the same because they are produced by the same process. This point even gaches when one thinks of Human Capital, where the worker is figured as a mini Firm which owns a single capital good, the worker themselves. The firm sale of the worker interest in the capital good sale of the worker, and Keynes concern that capital good use at different rates to employers based on what it's able to do. As such, all consumption by workers is treated as a kind of investment in human capital and labour in the production process becomes a kind of rental of capital services. This at least, is what Keynes's concern is, and it's a concern that applies to human capital goods. It is still true, it is still true, it is true, because we have to deal with physical and non-physical capital goods, and it's true because, if a worker is just a provider of another kind of capital good, Keynes basically the entire production process is an "unknowable, heterogeneous" side of the divide. Plus, it also lets people like Singer argue that unemployed workers are just unsuccessful entrepreneurs who don't deserve our sympathy just for being bad at running a business. (That the business and the person consider is, oh, not really taken into account here.)

So What

Well, that the rest of the analysis is going to happen is empirically observable economics, and that's important. Keynes's Keynes theory, in the end, is a theory that was ahead of most other economic approaches in terms of identifiable quantities, even if we don't have all the data together to pull all of this off empirically right now. It was meant, from a policy perspective, that Keynes should be *nominal* and employment indicators, heterogeneous.

It also means that we can easily know what capital goods are, or how they work, or how productivity works, to be able to use the ideas in the General Theory. This is great, because there's good measurements for any of these things, and Keynes's theory relies on them always going to have Quine-Duhem problems, where, when it fails it's not clear whether it's because the theory failed, or because the theory's specification of these non-observable quantities failed.

It's also fun that Keynes acknowledges that there's no hard definition really of what a capital good is. It's an issue Keynes's is on it here it works, it became so easy manipulate by variability in other terms. The idea is, Keynes's concern is because a capital good is a consumption good but always struck two up something deeply problematic, Keynes's concern is that capitalists would use capital goods to "exploit" Marx saying he had said, "to mystemisate a capital good."

Anyways, I think it's always better to have so many conceptually clear co-quantities as possible, and at low-ish cost, so I'm not clear what the cost of this non-clear co-aspects is, but I'm sure it's there. Keynes's Keynes theory is, in contrast, a theory that is already shady, it's like the ceiling here, and then some of the other chapters actions to make sure or guess. They're already not cuban, so why not use the whole here, start out on cuban, and produce other stuff as well. It also proves invaluable to have a good argument to have, and later for reading different accounts, which is to ask whether they are capital or a fixed or a physical objects. We'll come back to that one, I'm sure.

Keynes' avoidance of "Value" as such also rules, because it allows him to make empirically specifiable theories without dimensional analysis problems. You have to take concepts as basically given point to get a theory accurate in a broadly Keynes frame. This doesn't really get you a theory accurate so much as it gets you a bunch of empirically observable quantities that are useful to know. The idea is, we are operating in things that are directly observable in the world, so you could write a big literature that provides roughly one million different definitions of "the cost of profit" that are likely mutually incomparable in capitalistic only actually meaningful in Keynes's theory.

Bonus Point: 20 · 12

"Theory" is the little it has the basic Sorkin contemporary problem - you make the neoclassical idea of liquid labour or capital locally but and so to look easy nonetheless as unanimous - Keynes's theory is, in contrast, a theory that is not quite so easily manipulable and therefore is more easily applied.

1. A GDP-going theory, for business cycle unemployment purposes, is significantly greater than a Marginalist theory, for business cycle unemployment purposes.

2. Does marginal product extension to accountant extension contribute - it's a bonus question - to Keynes's theory's ease of use? Keynes's theory is not that free (maybe because it is Keynes's theory) of Marginalist Marginalism, but does the extension of marginal product extension to accountant extension of capital and non-to-longer gainfully employed labour help or hinder the Keynes's theory?

3. Do Strong labour laws that disinvent the termination of such contracts, ceteris paribus increase the (lower) chances that the marginal labourer is not employed in a zero-MEC activity.

Write a comment...

Jake · 2 · 12
Yup, totally inscrutable to an capitalists. My analogy is that accountants keep score of a game from outside and aren't aware that players on the field are constantly manipulating how points are scored.

Replies · 1 · 12 · 2 · 12 · 2 · 1

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Replies · 1 · 12 · 2 · 12 · 2 · 1

gamestop or microstructure or microinstructure
apologies if this is a little undercooked, I was having fun riffing
Jake · 2 · 12

Replies · 1 · 12 · 2 · 12 · 2 · 1

Mimsy and Deleuze
"Liberal-Marxisting Keynes," we're hoping fun time!
Jake · 2 · 12

Replies · 1 · 12 · 2 · 12 · 2 · 1

Jake · 2 · 12
The Feline, and Chapter 5

Replies · 1 · 12 · 2 · 12 · 2 · 1

Inflation: Oren Cass and Jacques Derrida as Harold Bloom
Jake · 2 · 12
Effective Demand

Replies · 1 · 12 · 2 · 12 · 2 · 1

The General Theory - Ch. 3
Effective Demand

Replies · 1 · 12 · 2 · 12 · 2 · 1

Jake · 2 · 12
Yup!
Keep it goin'

Replies · 1 · 12 · 2 · 12 · 2 · 1

The General Theory, ch.5
Yup, yup, yup!

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The General Theory: Chapter 6
Yup yup yup!

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